

ASHEN & FYFE LLP

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NOTICE OF SPECIFIED DEFAULT AND NOTICE OF TERMINATION

(reproduced together with the covering correspondence)

DOCUMENT 16.1 — NOTICE OF SPECIFIED DEFAULT

From	Coldbrook Capital LLP, by its solicitors Ashen & Fyfe LLP
To	Meridian Structures Limited
Dated	8 December 2023
Method of service	By hand to Meridian's registered office at 14:20 on 8 December 2023 (receipt signed by 'D. Achebe-Ruskin, reception'). Not sent by email.
Clause relied upon	8.4.1 read with 8.4.1.6

“TAKE NOTICE that the Employer specifies the following default:

That the Contractor has made a material misrepresentation as to the existence and content of a certificate required under Schedule 3, namely by producing and relying upon a document numbered TWDC-BW-07 purporting to be a Category 2 independent design check certificate for loading bay LB-7 issued by Halbrook Temporary Works Consultants Ltd on 27 October 2023, when no such certificate was issued and the document was created by or on behalf of the Contractor on or about 13 November 2023.

The Employer requires the Contractor to cease the said default. If the default continues for 14 days from receipt of this notice the Employer may terminate the Contractor’s employment under clause 8.4.1.”

DOCUMENT 16.2 — NOTICE OF TERMINATION

From	Coldbrook Capital LLP, by its solicitors Ashen & Fyfe LLP
To	Meridian Structures Limited
Dated	19 December 2023
Method of service	By hand at 11:05 on 19 December 2023 and by email to commercial@meridianstructures.co.uk at 11:11 on 19 December 2023
Clauses relied upon	8.4.1 and, in the alternative, 8.4.4; and, in the further alternative, acceptance of repudiatory breach at common law

“Further to the notice of specified default dated 8 December 2023, the default has not been remedied. The Employer hereby terminates the Contractor’s employment under the Contract with immediate effect.

The Employer relies in the alternative on clause 8.4.4, the Employer reasonably believing that the Contractor has acted fraudulently, in which case no cure period applies.

The Employer relies in the further alternative on the Contractor’s repudiatory breach of contract at common law, which the Employer hereby accepts. The repudiatory conduct comprises the creation and deployment of a forged safety certificate for the purpose of obtaining a milestone payment of £610,000, in circumstances where the underlying temporary works were dangerously defective and a workman has died.

The Employer will take possession of the site and the Contractor is required to vacate by 4pm on 22 December 2023. The Employer reserves all its rights, including as to damages, and will pursue the individuals concerned where advised to do so.”

DOCUMENT 16.3 — MERIDIAN'S RESPONSE (Halloway Brant LLP, 21 December 2023), extract

“Your purported termination is invalid and is itself a repudiation of the Contract, which our client accepts.

First, the notice of specified default of 8 December 2023 was not served by email as clause 1.7 requires. Clause 1.7 provides in terms that a notice not so sent shall be of no effect. There is therefore no valid default notice and the

machinery of clause 8.4.1 was never engaged.

Second, and if that is wrong, the 14 day period from receipt on 8 December 2023 expired on 22 December 2023. Your notice of 19 December 2023 was premature. A premature termination notice is invalid and is a repudiation: see the line of authority following *Reinwood Ltd v L Brown & Sons Ltd* and the strict approach to termination machinery.

Third, clause 8.4.4 cannot avail you. Your own Employer’s Agent certified Milestone 6 on 30 November 2023, expressly confirming that all loading platforms were independently certified and that he was satisfied of the same. Your client cannot simultaneously assert that it was deceived and that it reasonably believed fraud. Further, clause 8.4.4 requires a reasonable belief. Your client had no material on 19 December 2023 beyond assertion; the metadata report on which you now rely was not produced until 6 May 2024.

Fourth, the individual who is said to have created the document, if anyone did, was acting outside the scope of his authority and his knowledge is not to be attributed to our client. We refer you to the principles of attribution discussed in *Bilta (UK) Ltd v Nazir (No.2)* and *Singularis Holdings Ltd v Daiwa Capital Markets Europe Ltd*.

Fifth, we note that your client has not paid the notified sum of £1,842,500 which fell due on 15 December 2023 and in respect of which no valid Pay Less Notice was given. Our client’s Part 8 claim will be issued.”

DOCUMENT 16.4 — AGREED CHRONOLOGY OF SERVICE (from the TCC case management bundle)

Notice	Hand delivery	Email	Compliant with cl. 1.7?
Default notice, 8 Dec 2023	8 Dec, 14:20 (signed for)	Not sent	Disputed — Coldbrook says cl. 1.7 is directory not mandatory
Pay Less Notice, 12 Dec 2023	Received 13 Dec, 09:14	12 Dec, 17:52	Yes as to method; timing disputed
Termination notice, 19 Dec 2023	19 Dec, 11:05	19 Dec, 11:11	Yes

Note. Coldbrook contends in the alternative that even if the default notice was invalid, the termination notice of 19 December 2023 was effective as an acceptance of repudiation at common law, for which no contractual machinery is required. Meridian contends that where a contract contains an exclusive termination code, the common law right is excluded, and relies on the express words of clause 8.1 ('the provisions of this section 8 shall be the sole means by which the employment of the Contractor may be brought to an end'), which appears in the printed form and was not amended.